Revitalizing Jungnang-gu: A Demand-Driven Inclusive Housing Strategy for Seoul's Marginalized Districts

Dongjae Kang

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Professor. Annika Lescott-Martinez

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Columbia University, School of International and Public Affairs

I. Introduction

Seoul, South Korea's capital and economic powerhouse, faces a deepening housing crisis characterized by extreme spatial polarization and affordability challenges. While affluent districts like Gangnam, Yongsan, and Yeouido benefit from continuous investment, prime infrastructure, and skyrocketing property values, peripheral districts such as Jungnang-gu remain systematically overlooked and under-resourced. This bifurcation mirrors the structural inequalities documented in American cities, where government policies have historically reinforced spatial segregation along racial and economic lines (Rothstein, 2018). In Seoul, the pattern manifests as a geography of opportunity where educational quality, job prospects, and housing investment concentrate in select neighborhoods, leaving areas like Jungnang-gu trapped in cycles of disinvestment and decline.

Jungnang-gu, located in northeastern Seoul, exemplifies the challenges facing marginalized urban districts. With approximately 80% of its housing stock over 20 years old—a rate roughly 30% higher than Seoul's average (MK English, 2024)—the district suffers from deteriorating physical infrastructure and declining property values that rank among the city's lowest (Chosun Ilbo, 2025). The area's demographic profile compounds these challenges: over 16% of residents are aged 65 or older (Seoul Solution, 2017; IGIS Asset Management, n.d.), reflecting Seoul's broader aging trend but with fewer resources to support this vulnerable population. Young families and professionals continue to leave, seeking better schools, modern housing, and economic opportunities in more prosperous neighborhoods.

Yet Jungnang-gu's struggles represent more than a local policy failure—they illuminate fundamental questions about equitable urban development that resonate across global cities. As Schwartz (2021, Chapter 1) demonstrates in his comprehensive analysis of U.S. housing policy, government decisions about "what we build, where we build, who we build for, and how we pay for it" have profound, lasting consequences for urban communities. The challenge facing Jungnang-gu is not merely to build more housing, but to develop a comprehensive policy framework that can break cycles of disinvestment, attract diverse populations, prevent displacement, and create sustainable, mixed-income communities.

This paper proposes a demand-driven inclusive housing strategy for Jungnang-gu that integrates five interconnected policy approaches: (1) education-anchored mixed-income housing development, (2) senior-inclusive dual-tier housing, (3) live-work spaces for innovation workers, and (4) comprehensive anti-gentrification protections. Drawing on successful models from Singapore, Chicago, and Seoul's own recent experiments, this framework demonstrates how strategic investments in housing can catalyze broader neighborhood transformation while protecting existing residents. The approach is explicitly designed to avoid the displacement and community destruction that Moskowitz (2018) documents in gentrifying American cities, while incorporating the affirmatively fair housing principles that Rothstein (2018, Chapter 12) argues are essential to remedy historical inequities.

Beyond addressing Jungnang-gu's immediate needs, this policy framework offers a replicable model for balanced urban growth across Seoul and potentially other rapidly developing Asian cities facing similar polarization challenges. By demonstrating that peripheral districts can become desirable, livable communities without displacing vulnerable residents, Jungnang-gu could pioneer an alternative to the zero-sum dynamics that have characterized urban development in both Korea and the United States.

II. Background: Understanding Jungnang-gu's Context

1) Geographic and Economic Position

Jungnang-gu occupies a strategic yet historically overlooked position in Seoul's northeastern periphery, bordered by the Jungnang Stream and adjacent to Gyeonggi Province cities of Guri and Namyangju (see Appendix A for location map). While this location has historically been viewed as a disadvantage—distant from Seoul's central business districts and major employment centers—it offers distinctive assets that policy can leverage. The district's proximity to natural amenities, including waterways and mountains, provides environmental qualities increasingly valued in dense urban contexts. Its position at the interface between Seoul and surrounding suburban municipalities creates potential for transit-oriented development as transportation networks expand.

Economically, Jungnang-gu represents Seoul's industrial past transitioning uneasily into a service-dominated present. The district has long been designated a fashion and garment manufacturing zone, with small-scale sewing factories operating independently with outdated technology and limited competitiveness. This labor-intensive sector, once a source of stable employment, has failed to modernize, leaving workers trapped in low-wage jobs while younger generations seek opportunities elsewhere. The result is economic stagnation that reinforces the district's reputation as an undesirable location for investment or residence.

2) Housing Stock and Living Conditions

The physical condition of Jungnang-gu's housing dramatically illustrates decades of underinvestment. Approximately 80% of the district's buildings are over 20 years old, with the proportion of aged housing roughly 30% higher than Seoul's average (MK English, 2024; Seoul Solution, 2017). This concentration of deteriorating low-rise housing creates multiple challenges: poor insulation and energy efficiency, inadequate facilities, safety concerns, and an overall aesthetic of neglect that perpetuates negative perceptions. Property values reflect these conditions—Jungnang-gu's housing prices consistently rank in Seoul's bottom tier, with transaction volumes declining as buyers avoid the area (Chosun Ilbo, 2025).

Recent policy initiatives have begun addressing these conditions, but with mixed results. The Yongma Tunnel area development, delivering 551 public housing units (including 246 public rental units) with integrated community facilities and green spaces, represents Seoul's attempt at socially mixed regeneration (Asiae, 2025; Chosun Biz, 2025). The project has achieved an impressive 95% occupancy rate (MK English, 2024) and demonstrated that well-designed public housing can attract residents. Similarly, the "Moa Housing" initiative employs small-scale regeneration to quickly improve aging neighborhoods while maintaining community cohesion (Development Asia, 2004). These projects show promise but remain too limited in scale to fundamentally transform the district's housing landscape.

3) Demographic Challenges and Opportunities

Jungnang-gu's demographic composition presents both challenges and opportunities for policy intervention (see Appendix B for demographic comparison table). The district's elderly population, exceeding 16% of residents (Seoul Solution, 2017; Invesco, n.d.), faces particular hardship given limited social services and inadequate age-friendly infrastructure. Many elderly residents live in deteriorating housing on fixed incomes, vulnerable to any disruption in their long-established communities. Simultaneously, young families with children—the demographic most crucial to neighborhood vitality—continue leaving for districts with better schools and modern housing, creating a negative feedback loop of decline.

Yet these demographic patterns also suggest specific policy opportunities. Korea as a whole is entering a "super-aged society" with residents over 65 projected to exceed 20% by 2025 (IGIS Asset Management, n.d.; Invesco, n.d.), creating surging demand for senior housing and services. Jungnang-gu's existing elderly population and natural amenities position it well to become a hub for age-friendly housing that could attract affluent retirees while serving existing residents. Similarly, Seoul's severe youth housing shortage—with competition ratios for public rental reaching 40:1 (Asia Economy, 2024; MK English, 2024)—creates opportunities to attract young professionals and families if appropriate, affordable housing becomes available.

4) The Polarization Context

Understanding Jungnang-gu requires recognizing its position within Seoul's broader spatial polarization. Seoul's housing market exhibits extreme price disparities, with properties in Gangnam district often costing five to ten times equivalent housing in peripheral areas. In 2025, Seoul's housing prices rose 3.63% on average, but gains concentrated in central and southern districts while peripheral areas stagnated or declined (Global Property Guide, 2025). These price gaps reflect and reinforce disparities in educational quality, employment access, and public amenities. Families with resources concentrate in expensive districts to access top schools—a pattern strikingly similar to the U.S. phenomenon that Rothstein (2018, Chapters 3-4) describes as "de facto segregation" created by unequal educational investment. Just as American families paid premiums to avoid redlined neighborhoods and access quality schools, Seoul families accept extraordinary housing costs to reach elite educational districts.

This polarization intensified following South Korea's 1997 financial crisis, when neoliberal housing reforms shifted emphasis from public provision to market mechanisms. The resulting commodification of housing turned property into an investment vehicle rather than a social good, accelerating inequality as capital concentrated in already-prosperous areas. Districts like Jungnang-gu, lacking amenities that attract investment, fell further behind.

5) Lessons from Past Policy Failures

Jungnang-gu's current challenges partly reflect limitations of past housing policies that prioritized quantity over quality and failed to integrate social considerations. During Seoul's rapid urbanization (1970s-1980s), large-scale public housing projects supplied needed units but often created isolated, stigmatized developments that concentrated poverty—a pattern Schwartz (2021, Chapter 6) extensively documents in U.S. public housing history. These projects typically provided minimal community amenities, leading to social problems and reinforcing negative perceptions of public housing.

More recent regeneration efforts have shown greater sophistication but remain incomplete. While projects like Moa Housing emphasize community engagement and social mixing (Development Asia, 2004), they lack comprehensive anti-displacement protections. Studies of Seoul's redevelopment areas document rent increases of 15-25% following regeneration, pricing out existing residents and undermining stated goals of neighborhood preservation (ScienceDirect, 2024; Yonsei University, n.d.). The experience of Seoul neighborhoods like Hongdae and Samcheong-dong—where creative communities were displaced by commercial development following initial "revitalization"—mirrors Moskowitz's (2018) documentation of gentrification in New Orleans, Detroit, San Francisco, and New York. These failures underscore the necessity of proactive anti-displacement measures integrated from the outset of any housing initiative.

III. Problem Identification: Core Housing Challenges

1) Deteriorating Physical Infrastructure and Concentrated Disadvantage

Jungnang-gu's most visible challenge is its decaying physical housing stock, with 80% of buildings exceeding 20 years and many far older (MK English, 2024; Seoul Solution, 2017). This aging infrastructure creates cascading problems: high energy costs from poor insulation, safety hazards from deteriorating structures, limited accessibility for elderly and disabled residents, and an overall environment that signals disinvestment. The concentration of old, low-quality housing has made Jungnang-gu a de facto reservoir for Seoul's poorest residents, unable to afford housing in better-maintained districts.

This pattern of concentrated disadvantage closely parallels what Rothstein (2018, Chapters 2-3) documents in American cities, where government policies systematically directed investment toward certain areas while neglecting others. In the U.S. context, redlining maps explicitly marked minority neighborhoods as "risky," ensuring they received no lending support and steadily deteriorated. While Korea's history differs, the structural outcome resembles redlining's effects: certain districts receive continuous investment and upgrading while others, like Jungnang-gu, experience systematic disinvestment that becomes self-reinforcing. Property values fall, deterring private investment; lower revenues reduce public services; decline accelerates.

The human cost of this physical deterioration is substantial. Families living in substandard housing face health risks from mold, inadequate heating, and poor ventilation. Elderly residents struggle with buildings lacking elevators or proper accessibility features. Children grow up in environments that may lack adequate space for study or play. These conditions perpetuate cycles of disadvantage, as families able to leave do so, further concentrating poverty and reducing the local tax base needed for improvements.

2) Demographic Imbalances and Social Service Gaps

Jungnang-gu's demographic composition—characterized by high elderly concentration (16%+), low young family presence, and continuing out-migration of working-age residents—creates both immediate service needs and long-term sustainability concerns (Seoul Solution, 2017; Invesco, n.d.). The elderly population requires extensive support services: accessible housing, healthcare facilities, transportation assistance, and social programs to prevent isolation. Yet Jungnang-gu's limited resources and tax base make providing adequate services difficult, even as the need intensifies with Korea's accelerating aging.

Simultaneously, the district's failure to attract and retain young families undermines its long-term viability. Young families bring economic activity, fill schools, support local businesses, and create the social dynamism that makes neighborhoods attractive. Their absence creates a downward spiral: empty schools close, reducing appeal to other families; businesses catering to families leave; the remaining population skews even older; services oriented to younger demographics disappear. This pattern threatens to turn Jungnang-gu into what planners term a "shrinking community"—an area losing population and vitality despite being in a growing metropolitan region.

Korea's impending transition to a "super-aged society" (20%+ over age 65 by 2025) makes addressing this demographic imbalance urgent (IGIS Asset Management, n.d.). If Jungnang-gu cannot develop models for housing and serving diverse age groups, it will become increasingly burdensome for Seoul, requiring growing subsidies to maintain basic services for a dependent population. Conversely, successfully creating

age-diverse, multigenerational communities could position Jungnang-gu as a model for aging societies globally.

3) Educational Disadvantage and Inter-generational Inequality

In Korea's intensely competitive educational system, residential location profoundly shapes children's opportunities—a dynamic remarkably similar to Rothstein's (2018, Chapters 3-4) analysis of how U.S. residential segregation created unequal schooling. Jungnang-gu's schools consistently underperform Seoul's elite districts in university admissions, particularly to prestigious institutions like Seoul National University or medical schools. This gap reflects multiple factors: fewer qualified teachers willing to work in lower-income areas, weaker peer effects with less competitive student bodies, limited resources for supplementary programs, and a self-fulfilling prophecy where bright students leave for better districts.

The educational gap has enormous consequences for housing demand and district reputation. Korean families make extraordinary sacrifices for children's education, with housing location decisions often driven entirely by school quality. Districts with strong schools command massive price premiums—families will accept smaller homes, longer commutes, and higher costs to access elite educational environments. Conversely, districts like Jungnang-gu with weak educational reputations struggle to attract families regardless of other amenities or housing quality. This creates a vicious cycle: weak schools drive away motivated families, further undermining school quality and district reputation.

Addressing this educational disadvantage is central to any housing strategy for Jungnang-gu. Without improved educational infrastructure and reputation, the district will continue losing young families to better-regarded areas, undermining efforts to create mixed-income, demographically balanced communities. Yet creating educational improvement in isolation—without corresponding housing investment—would likely trigger severe gentrification as families suddenly compete for limited housing near improved schools, displacing existing residents.

4) Economic Stagnation and Limited Employment

Jungnang-gu's economic base, centered on traditional garment manufacturing, illustrates the district's failure to adapt to Seoul's transformation into a high-tech, service-oriented economy. The district's small sewing factories operate with outdated equipment, minimal automation, and limited capital investment. They provide low-wage employment with poor working conditions, unable to attract skilled workers or younger generations. This industrial stagnation creates multiple problems: limited local employment opportunities force residents to commute elsewhere; low wages mean residents have little purchasing power to support local businesses; the perception of the district as an aging industrial area deters both residential and commercial investment.

This economic trajectory resembles what Moskowitz (2018, Part 2) documents in Detroit, where industrial decline created vast abandoned areas and population loss. While Jungnang-gu's situation is less extreme—it remains part of a prosperous metropolitan region—the pattern of economic obsolescence carries similar risks. Without economic revitalization creating local employment and bringing workers into the district, efforts to improve housing may fail to attract new residents or generate the commercial activity that makes neighborhoods vibrant.

The challenge is not simply to eliminate traditional industry but to transform it. Jungnang-gu's garment sector, if modernized with advanced technology and sustainable practices, could become a competitive

advantage—a hub for innovative fashion and textile manufacturing combining traditional craftsmanship with cutting-edge methods. Similarly, the district's location between Seoul and growing suburban areas creates potential for logistics, services, and industries serving the broader metropolitan region. The key is linking economic development to housing strategy, creating virtuous cycles where employment draws residents and residential investment supports businesses.

5) Historical Policy Failures and Gentrification Risks

Past housing interventions in Jungnang-gu and similar Seoul districts demonstrate why new approaches must explicitly address displacement and community preservation. Large-scale redevelopment projects, while improving physical housing quality, typically generated massive rent increases (15-25%) that priced out existing residents (ScienceDirect, 2024; Yonsei University, n.d.). The pattern Moskowitz (2018, Introduction) calls "economic eviction" has become standard: areas designated for improvement experience rapid property appreciation that benefits owners and developers while displacing renters and small businesses. Even Seoul's recent "Moa Housing" initiative, though better designed than previous efforts, achieved only 89% re-entry of original residents (MK English, 2024, 2025)—suggesting that even well-intentioned regeneration can cause significant displacement.

These failures reflect what Schwartz (2021, Chapters 6-8) identifies as a fundamental tension in housing policy: improving neighborhoods often increases their attractiveness and cost, paradoxically harming the residents improvements aim to help. Without explicit anti-displacement protections, any successful housing investment in Jungnang-gu risks simply transferring the district's poverty and disadvantage to other locations while erasing established communities. This zero-sum outcome is neither ethically acceptable nor practically sustainable—it merely shifts problems rather than solving them.

The challenge is to design housing interventions that simultaneously improve quality, attract new investment and residents, and protect existing communities. This requires integrating anti-displacement measures from the outset rather than treating them as afterthoughts. It also requires moving beyond simplistic market mechanisms to recognize housing's dual nature as both commodity and social good—a recognition that Rothstein (2018, Chapter 12) argues has been systematically absent from U.S. policy but which successful international examples like Singapore demonstrate is possible.

IV. Proposed Housing Policy Framework

The following five interconnected policies form a comprehensive housing strategy for Jungnang-gu. Each addresses specific challenges while supporting the others, creating synergies that make the overall framework more powerful than isolated interventions. The approach is explicitly demand-driven: rather than simply building housing, it creates conditions that attract diverse populations, ensuring that new supply meets genuine demand while preserving community stability.

1) <u>Policy 1: Education-Anchored Mixed-Income Housing Development</u>

A. Rationale and Theoretical Foundation

In Korea's education-driven society, school quality represents perhaps the most powerful determinant of housing demand and neighborhood reputation. This connection between education and housing mirrors patterns Rothstein (2018, Chapters 3-4) documents in the United States, where school district boundaries

became de facto mechanisms of segregation as families with resources clustered in areas with strong schools. While Korea's educational differentiation operates through different mechanisms—prestigious schools concentrated in wealthy districts rather than formal district boundaries—the effect is identical: educational inequality drives residential segregation and housing price disparities.

This policy proposes leveraging education as a housing demand driver by establishing high-quality educational institutions in Jungnang-gu, then developing mixed-income housing deliberately integrated with educational infrastructure. The model draws on successful precedents like Hana High School in Seoul's Eunpyeong District, where a prestigious school transformed its surrounding neighborhood's reputation and property values despite the area's initially weak position. Critically, the approach combines educational improvement with housing development explicitly designed to prevent displacement and serve diverse income groups—learning from failures Moskowitz (2018) documents where neighborhood improvements triggered gentrification that displaced original residents.

B. Policy Design and Implementation

i) Educational Anchor Development

The centerpiece is establishing a high-quality secondary school modeled on successful examples like Hana High School, featuring innovative curricula, well-qualified teachers, modern facilities, and strong university placement records. Simultaneously, premium early childhood education programs would attract young families and establish Jungnang-gu's educational credentials. These educational investments would be coordinated with housing development, unlike typical approaches where education and housing planning occur separately.

ii) Mixed-Income Housing Integration

Housing developed within 500 meters of educational facilities would be required to include:

- 60% market-rate units to attract middle-class families and generate revenue
- 20% public rental housing for low-income residents, ensuring socioeconomic mixing
- 20% subsidized units for newlywed couples and young families, stimulating demographic renewal

This income mixing draws directly on Schwartz's (2021, Chapters 5 & 9) analysis of successful mixed-income developments in the United States, which demonstrates that careful design can overcome stigma traditionally associated with public housing while creating stable, diverse communities. The approach also parallels Singapore's Housing Development Board (HDB) model, which has achieved over 90% satisfaction rates through mandatory income mixing and high-quality construction that makes income differences invisible (CIGI, n.d.).

iii) Financing Mechanisms

The policy would leverage multiple funding streams:

- Low-Income Housing Tax Credits (LIHTC) adapted from the U.S. model Schwartz (2021, Chapter 5) analyzes extensively, providing tax incentives for private developers to include affordable units
- Seoul Metropolitan Government Housing Trust Funds supporting the public rental component (Korea JoongAng Daily, 2025)
- Floor Area Ratio (FAR) bonuses for developers exceeding required affordable housing percentages
- Educational authority contributions for school construction and programs

This layered financing approach, combining public subsidy, tax incentives, and regulatory tools, reflects best practices Schwartz (2021, Chapter 9) identifies from successful U.S. programs while adapting them to Korea's institutional context.

iv) Community Facilities Integration

Housing developments would include integrated community facilities: high-quality kindergartens, after-school care centers, libraries, parent education programs, and youth services. This integration reflects research showing that mixed-income developments succeed when they provide amenities benefiting all residents, creating shared spaces that foster social cohesion across income groups.

C. Expected Outcomes and Evidence Base

The policy's viability rests on strong empirical evidence from multiple contexts:

- **Singapore HDB Model**

Singapore's public housing program, housing over 80% of residents in developments mixing income groups, has achieved over 90% satisfaction rates and created remarkably stable, integrated communities (CIGI, n.d.). The program's success demonstrates that thoughtful design and universal provision can overcome the stigma and isolation that plagued U.S. public housing (Schwartz, 2021, Chapter 6).

- **Moa Housing Success**

Jungnang-gu's own Moa Housing project, though small-scale, demonstrates the feasibility of rapid regeneration with community participation (Development Asia, 2004). The project achieved 89% re-entry of original residents while improving housing quality (MK English, 2024, 2025)—a significantly better displacement outcome than typical Seoul redevelopments. Scaling this approach while adding stronger anti-displacement protections could yield even better results.

- **Yongma Tunnel Achievement**

The 551-unit development near Yongma Tunnel achieved 95% occupancy rates, demonstrating strong demand for quality public housing when properly designed and located (Asiae, 2025; Chosun Biz, 2025; MK English, 2024).

D. Connection to Course Readings

This policy directly applies Schwartz's (2021, Chapters 5 & 9) analysis of LIHTC and mixed-income development strategies, demonstrating how tax incentives and inclusionary zoning can attract private capital while ensuring affordable housing. It also engages Rothstein's (2018, Chapters 3-4) critique of how educational inequality reinforces residential segregation, attempting to break this pattern by deliberately linking educational improvement to mixed-income housing rather than allowing educational gains to simply drive gentrification. The integration of community facilities and participation mechanisms reflects Schwartz's (2021, Chapter 9) emphasis on nonprofit sector roles in creating housing that serves social goals rather than purely market outcomes.

2) <u>Policy 2: Senior-Inclusive Dual-Tier Housing Strategy</u>

A. Rationale and Demographic Context

Korea's dramatic aging—heading toward "super-aged society" status with over 20% of residents above 65 by 2025 (IGIS Asset Management, n.d.; Invesco, n.d.)—creates both pressing challenges and strategic opportunities for housing policy. Jungnang-gu, with 16%+ elderly population (Seoul Solution, 2017) and

natural amenities (waterways, proximity to mountains), can leverage aging demographics rather than viewing them solely as burdens. The policy proposes developing senior housing that serves diverse income groups simultaneously: affluent retirees seeking high-quality age-friendly communities, and existing low-income elderly residents needing affordable, supportive housing.

This dual-tier approach addresses a fundamental equity issue Schwartz (2021, Chapters 6-7) emphasizes: housing policy must serve diverse populations without creating segregated, stigmatized developments. The U.S. experience with senior housing illustrates both possibilities and pitfalls—successful Section 202 developments proving that well-designed elderly housing can work excellently (Schwartz, 2021, Chapter 7), while isolated, under-resourced projects reinforced age segregation and isolation. The Jungnang-gu strategy aims to combine quality senior housing attracting affluent residents with subsidized housing for existing residents, using revenue from market-rate facilities to cross-subsidize affordable units while creating integrated, multigenerational communities.

B. Policy Design and Implementation

i) Tier 1: Premium Senior Living Communities

High-end facilities targeting affluent retirees would feature (see Appendix D for facility comparison):

- Modern apartments (60-120m²) with universal design, safety features, and quality finishes
- Comprehensive medical services (24-hour nursing, partnerships with nearby hospitals, preventive care programs)
- Wellness facilities (swimming pools, fitness centers, physical therapy, yoga/meditation spaces)
- Cultural and social amenities (libraries, performance spaces, hobby clubs, educational programs)
- Dining services with nutritional management
- Prime locations near Jungnang Stream and natural areas, marketed as Seoul's age-friendly retreat

ii) Tier 2: Affordable Senior Housing

Concurrently developed affordable housing for existing low-income elderly residents would include:

- Smaller apartments (30-50m²) with universal design and safety features
- Subsidized rent based on income
- Basic medical and social services (coordinated with Tier 1 facilities)
- Community spaces (senior centers, dining halls, activity rooms)
- Social service support (case management, assistance with daily living)
- Priority access for long-term Jungnang-gu residents to prevent displacement

iii) Cross-Subsidy and Integration Model

The dual tiers would be operationally linked through shared management and selected facilities (medical services, wellness centers) accessible to both tiers with differential pricing, creating natural integration. This cross-subsidy model mirrors approaches Schwartz (2021, Chapter 9) identifies in successful mixed-income developments, where market-rate revenues subsidize affordable housing.

C. Evidence Base and Proven Models

- **Star City (Seoul)**

This successful senior living complex integrates housing with medical care, wellness facilities, and social programs, achieving high satisfaction among residents (Jerde, n.d.). Its model demonstrates Korean elderly residents' willingness to pay for quality senior housing when it provides comprehensive services and community.

- **Caredoc Senior Housing**

Another Seoul success story, Caredoc shows demand for senior housing that enables independent living while providing health support and social connection, preventing the isolation many elderly people experience in conventional housing (Korea Times, 2025).

- **Government Policy Trends**

The Korean government has prioritized senior housing expansion, with Seoul's 2025 budget including substantial increases for senior welfare (Korea JoongAng Daily, 2025), reflecting policy recognition of demographic imperatives.

- **Demographic Demand**

Senior housing applications in Seoul substantially exceed supply, with wait times of 1-2 years for quality facilities common, suggesting that well-designed senior housing in Jungnang-gu could attract residents immediately (Invesco, n.d.).

D. Connection to Course Readings

This policy engages Schwartz's (2021, Chapters 6-7) analysis of Section 202 senior housing and voucher programs for elderly residents, adapting these approaches to Korea's context. It responds to Moskowitz's (2018) documentation of how redevelopment displaces vulnerable populations including elderly residents on fixed incomes, proposing explicit protections and priority access for existing residents. The emphasis on multigenerational integration reflects both Schwartz's analysis of mixed-income community benefits and Rothstein's (2018) critique of age-segregated developments that isolate elderly residents from broader society.

3) <u>Policy 3: Live-Work Mixed-Use Development for Innovation Economy Workers</u>

A. Rationale: Transforming Industrial Heritage into Innovation Asset

Jungnang-gu's traditional garment manufacturing sector, currently viewed as a symbol of economic backwardness, can be reimagined as a foundation for innovation-driven development. Rather than simply eliminating traditional industry through wholesale redevelopment—the approach Moskowitz (2018, Part 2) shows typically displaces working-class communities—this policy proposes modernizing and integrating industry with housing. The concept: transform Jungnang-gu into Seoul's hub for sustainable fashion innovation, combining traditional craftsmanship with cutting-edge technology (AI, automation, sustainable materials) while creating live-work spaces attracting young designers, technologists, and entrepreneurs.

This approach offers multiple advantages. It preserves and honors Jungnang-gu's industrial identity rather than erasing it, maintaining connection to neighborhood history. It provides economic opportunities for existing residents through skills training and employment in modernized industry. It attracts new residents (young professionals in creative/tech fields) whose presence generates additional demand for housing, services, and amenities. Most importantly, it creates economic vitality that makes housing investment sustainable—addressing the challenge that housing improvement alone, without employment growth, often fails to revitalize struggling areas.

B. Policy Design and Implementation

i) Industrial Modernization and Technology Integration

Traditional garment factories would be upgraded with AI-powered production management systems optimizing workflow, smart manufacturing equipment enabling small-batch production, sustainable textile

waste processing, and collaborative platforms connecting factories. Training programs would teach existing workers to operate advanced systems, drawing inspiration from Singapore's SkillsFuture program.

ii) Urban-Integrated Manufacturing Zoning

New zoning categories would permit manufacturing in mixed-use buildings: ground floor for small-scale advanced manufacturing and design studios, upper floors for residential units (studios, 1-2 bedroom apartments), with shared facilities like meeting spaces and equipment libraries.

iii) Live-Work Housing Units

Purpose-designed housing would serve fashion designers, technologists, and creative entrepreneurs with flexible floor plans, high-speed internet, ample natural light, and subsidized rents (30-40% below market) for initial 3-year period supporting startup phase.

iv) Innovation Support Ecosystem

Supporting programs would include maker spaces with industrial equipment, business incubation services, technical training programs, regular showcases and networking events, and partnerships with Seoul's fashion brands providing market access.

v) Skills Training for Existing Workers

Free training programs teaching digital skills, advanced manufacturing, and AI operations, with priority hiring commitments from new businesses and entrepreneur training for workers wanting to start businesses.

C. Evidence Base and Expected Outcomes

Cities globally have successfully maintained manufacturing in urban contexts through technology and design. Brooklyn's Industry City, Copenhagen's fashion incubators, and Amsterdam's maker districts demonstrate that advanced manufacturing can coexist with residential areas while creating vibrant neighborhoods. The global fashion industry faces growing pressure for sustainability, creating opportunities for innovative manufacturers. Korea's creative industries have grown rapidly, creating substantial demand for affordable work/live spaces (Comerica, 2022).

D. Connection to Course Readings

This policy engages Schwartz's (2021, Chapter 9) analysis of how economic development and housing can be productively linked. It responds directly to Moskowitz's (2018, Parts 3-4) documentation of how gentrification displaced creative communities in cities like Brooklyn and San Francisco, proposing instead to proactively create affordable space for creative workers. The emphasis on preserving working-class employment while upgrading industries reflects Rothstein's (2018, Chapter 12) argument that equitable policy must affirmatively create opportunities.

4) <u>Policy 4: Comprehensive Anti-Gentrification Protection Framework</u>

A. Rationale: Learning from Displacement History

Every policy described above—if successful—will increase Jungnang-gu's attractiveness and property values. Without explicit anti-displacement protections, this success paradoxically harms the very residents it aims to serve. Moskowitz's (2018) detailed case studies document this tragic pattern: neighborhood improvements attract investment, rents rise (15-25% in Seoul redevelopment zones; ScienceDirect, 2024; Yonsei University, n.d.), original residents are displaced, communities are destroyed.

This policy proposes comprehensive protections integrated from the outset rather than attempted after displacement begins. The approach applies Rothstein's (2018, Chapter 12) concept of "affirmatively furthering fair housing"—government must actively work to prevent segregation and displacement, not merely refrain from explicitly discriminatory actions.

B. Policy Design and Implementation

i) Community Land Trust (CLT) for Permanent Affordability

A Jungnang-gu CLT would separate land ownership from building ownership:

- Public/nonprofit entity owns land beneath housing
- Residents own buildings on long-term leases (99 years)
- Resale prices limited by formula, preventing speculation

This model, extensively used in U.S. cities and analyzed by Schwartz (2021, Chapter 9), creates permanently affordable housing that doesn't depend on ongoing subsidies.

ii) Inclusionary Zoning Requirements

All new developments exceeding 20 units must include minimum 25% affordable units (defined as affordable to households earning 60-80% of area median income), maintained for minimum 30 years. Developers meeting requirements receive FAR bonuses, height limit increases, property tax reductions, and expedited permitting.

iii) Right to Return and Priority Access Policies

Existing residents displaced by redevelopment receive guaranteed option to return at original rent/price levels, free temporary housing during construction, moving cost reimbursement, household stabilization grant, and legal assistance. This support ensures redevelopment doesn't force residents to leave permanently.

C. Evidence Base and Proven Models

- **Community Land Trusts**

U.S. CLTs in Burlington (Vermont), Portland (Oregon), and elsewhere have maintained affordable housing for decades, surviving market booms that inflated surrounding property values.

- **Harvest Commons (Chicago)**

This historic building's conversion to affordable housing demonstrates successful anti-displacement strategy, with resident retention exceeding 90% (POAH, 2024; Comerica, 2022).

- **Seoul Policy Momentum**

The Seoul Metropolitan Government has increasingly prioritized anti-displacement measures, with recent policy documents emphasizing resident participation, rent regulation, and re-entry guarantees (MK English, 2025; Korea JoongAng Daily, 2025).

D. Connection to Course Readings

This policy section most directly engages Moskowitz's (2018) entire book, which documents displacement's devastating effects on communities across American cities. Each protection proposed responds to specific displacement mechanisms Moskowitz identifies: CLTs address speculation, inclusionary zoning ensures new development serves diverse incomes, right-to-return addresses physical displacement from redevelopment. The framework also applies Rothstein's (2018, Chapter 12) concept of affirmative fair housing, recognizing that preventing displacement requires active government intervention. Finally, it draws on Schwartz's (2021, Chapter 9) analysis of tenant protections, community participation, and nonprofit roles.

V. Conclusion

Jungnang-gu's transformation from Seoul's marginalized periphery to a vibrant, equitable, mixed-income community requires more than conventional housing supply expansion. As this analysis demonstrates, effective policy must simultaneously address physical infrastructure, demographic composition, economic vitality, educational quality, and social equity—creating synergies where improvements in each domain reinforce others.

The proposed framework—education-anchored mixed-income housing, senior-inclusive development, green transit-oriented design, innovation live-work spaces, and comprehensive anti-displacement protections—represents such an integrated approach, learning from successful models internationally while adapting to Korean contexts. The strategy's viability rests on strong empirical foundations from Singapore's HDB (CIGI, n.d.), Seoul's own Yongma Tunnel and Moa Housing projects (Asiae, 2025; Development Asia, 2004; MK English, 2024), and international examples from Chicago to Copenhagen (POAH, 2024; Comerica, 2022).

Success would carry significance far beyond Jungnang-gu's boundaries. For Seoul, it would demonstrate that the city's development need not continue its current pattern of extreme polarization. For Korea nationally, it would provide urgently needed lessons about how aging societies can maintain urban vitality without displacement and inequality. Internationally, Jungnang-gu's experience would contribute to knowledge about equitable urban development in Asian contexts, potentially avoiding the mistakes that Schwartz (2021), Rothstein (2018), and Moskowitz (2018) document extensively in Western cities.

Implementation challenges should not be underestimated—coordinating multiple policy domains requires sustained political commitment and sophisticated governance. Yet these challenges are surmountable. The alternative—allowing current trends to continue—guarantees worsening inequality and social instability. Korea's demographic crisis makes spatial inequality particularly unsustainable.

Ultimately, Jungnang-gu's transformation concerns fundamental questions about what kind of cities we want to inhabit. Will urban development continue reinforcing inequality, or can policy create truly inclusive communities? The answer will profoundly shape Korea's urban future and potentially provide models for rapidly urbanizing societies globally. Jungnang-gu has the opportunity to pioneer this more equitable path—an opportunity too important to squander.

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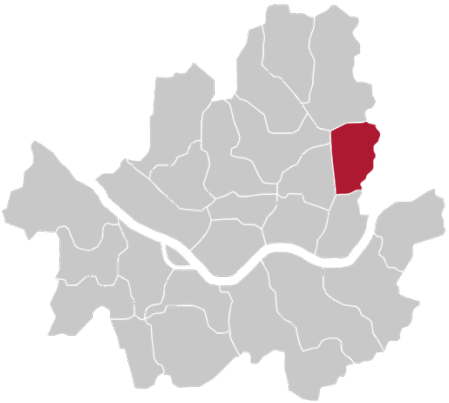
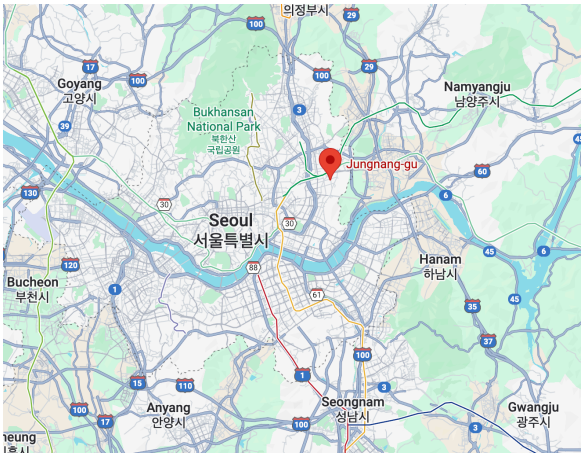
[APPENDICES]

Appendix A: Location and Geography





Jungnang-gu in Seoul's northeastern periphery,
bordered by Jungnang Stream and adjacent to Gyeonggi Province

Geographic Features

- Area: 18.5 km²
- Population: ~400,000
- Borders: Nowon-gu (north), Dongdaemun-gu (west), Gwangjin-gu (south), Guri-si (east)
- Natural features: Jungnang Stream, proximity to mountains

Appendix B: Demographic Comparison Table

[TABLE 1: Demographic Indicators - Jungnang-gu vs. Seoul Average vs. Gangnam]

Indicator	Jungnang-gu	Seoul Average	Gangnam-gu	Source
Population (2024)	~400,000	~9.5 million	~560,000	Seoul Solution, 2017
Elderly (65+)	16%+	~16%	~14%	Seoul Solution, 2017; IGIS, n.d.
Housing > 20 years	80%	~50-60%	~40%	MK English, 2024

Indicator	Jungnang-gu	Seoul Average	Gangnam-gu	Source
Avg. Property Price	Bottom quartile	Baseline (100)	500-1000% premium	Chosun Ilbo, 2025
Youth Housing Demand	High (40:1)	Very high	Extreme	Asia Economy, 2024

Appendix C: Mixed-Income Housing Unit Mix

[TABLE 2: Proposed Unit Mix for Education-Anchored Development]

Unit Type	Percentage	Target Income	Unit Size	Rent/Price Point	Rationale
Market-Rate	60%	>120% AMI	80-120m² (3-4BR)	Market price	Revenue generation, attract middle class
Public Rental	20%	<60% AMI	50-70m² (2-3BR)	20-30% of income	Serve low-income, social mixing
Subsidized (Newlywed)	20%	60-120% AMI	60-90m² (2-3BR)	20% below market	Attract young families, demographic renewal

Design Principles:

- No visual differentiation between unit types
- Shared community facilities (playground, library, gym)
- Mixed throughout building (not segregated by floor/wing)
- Based on Singapore HDB and successful U.S. mixed-income models (Schwartz, 2021, Ch. 5)

Appendix D: Senior Housing Facility Comparison

[TABLE 3: Tier 1 vs. Tier 2 Senior Housing Features]

Feature	Tier 1 (Premium)	Tier 2 (Affordable)	Integration Points
Unit Size	60-120m²	30-50m²	N/A
Rent/Price	₩300M+ entry, ₩1.5M/month	₩200-300K/month (subsidized)	N/A
Medical Services	24/7 nursing, hospital partnerships	Basic + access to Tier 1 services	Shared medical staff
Wellness Facilities	Pool, gym, spa, therapy	Basic gym, shared access	Differential pricing access
Social Programs	Extensive cultural/educational	Standard senior center programs	Joint activities available
Target Population	Affluent retirees	Existing low-income elderly	Multigenerational integration

[Photo of Star City]

Example of high-quality senior housing integrating medical care, wellness, and community

Appendix E: Implementation Timeline

[TABLE 4: Phased Implementation Schedule (Years 1-10)]

Phase	Years	Key Milestones	Housing Units	Infrastructure	Policy Framework
Foundation	1-2	Zoning reform, CLT creation, community engagement	0	Planning begins	Legal framework established
Initial	3-5	Schools open, first housing delivered	1,500	Transit construction	Rent control implemented
Scaling	6-8	Major housing expansion, innovation district active	5,000 (cumulative)	Transit operational	CLT at 10% coverage
Consolidation	9-10	Target achievement, replication planning	10,000 (cumulative)	Green corridors complete	CLT at 15%, full monitoring

Appendix F: Evaluation Framework

[TABLE 5: Comprehensive Success Metrics]

Domain	Key Indicators	Measurement Frequency	Target Direction	Data Source
Housing Supply	Units by type, vacancy rates	Quarterly	Increase units, low vacancy	District records
Demographics	Age distribution, income diversity	Annual	Balanced, diverse	Census, surveys
Displacement	Involuntary moves, original resident %	Quarterly	Minimize displacement	Tracking system
Economic	Employment, business formation	Quarterly	Growth in both	Economic census

Domain	Key Indicators	Measurement Frequency	Target Direction	Data Source
Property Values	Prices by area, rent levels	Monthly	Moderate increase (with controls)	Real estate data
Social Equity	Satisfaction, service access	Annual	High and equitable	Resident surveys
Environment	Energy use, air quality, green access	Quarterly	Improvement	Monitoring systems

Appendix G: U.S.-Korea Housing Policy Comparison

[TABLE 6: Contextual Differences Affecting Policy Transfer]

Factor	United States	South Korea (Seoul)	Implications for Jungnang-gu
Primary Segregation Axis	Race (historically), class	Class, education, region	Can focus on class/education without racial complexity
Government Capacity	Fragmented, limited land use control	Centralized, strong planning authority	Enables comprehensive implementation
Homeownership Rate	~65%	~60% (Seoul ~45%)	High ownership creates both opportunity and resistance
Housing as Investment	Important but not dominant	Dominant wealth-building tool	Requires strong anti-speculation measures
Education-Housing Link	Strong but variable by region	Extremely strong, uniform pattern	Education improvements = powerful demand driver
Public Housing Stigma	Severe (post-1970s)	Moderate and improving	Mixed-income essential to avoid U.S. mistakes
Gentrification Pace	Often gradual (decades)	Can be very rapid (years)	Requires immediate, strong anti-displacement